premium on government securities issued. Likewise, it also earns some interest on market loans. Finance and Accounts place this income on the revenue side, whereas the Budget papers and analytical reports display the interest payment net of these incomes. In 2017–18, such net receipts were about Rs 14,755 crore, which put the net interest expenditure at around Rs 5,28,600 crore.

Interest on ‘other obligations’ actually represents the result of the bypass on fiscal deficit financing attempted from time to time by the government. Interest paid on this head in 2017–18 was Rs 15,975 crore. This included interest on petroleum bonds (Rs 9583 crore), special securities issued to FCI (Rs 1319 crore), OMCs (Rs 407 crore), bonds issued to fertilizer companies (Rs 1174 crore) and interest paid to SBI for the government bonds subscribed to by SBI to enable the Government of India to invest in the rights issue of SBI (Rs 835 crore). Almost all these obligations were taken on by the UPA government between 2004–05 and 2012–13. The NDA government has also resorted to this route to recapitalize the PSBs and other financial institutions like EXIM Bank and IIFCL. These bonds were first issued in 2017–18. The first interest obligations for them came up for payment in 2018–19. As further bonds were issued in 2018–19 and 2019–20, and by then the amount of bonds issued exceeded Rs 2,15,000 crore, interest payment on these obligations exceeded the entire interest payment made in 2017–18 in this head.

In 2017–18, interest payment at Rs 5,28,900 crore of the total budgetary expenditure of the government of Rs 21,41,973 crore was 24.6 per cent of total expenditure. This saw a minor decline in 2018–19 according to the provisional numbers released. This year, net interest payments amounted to Rs 5,82,675 crore of a total expenditure of Rs 23,11,422 crore, exceeding 25 per cent of total expenditure.

Expenditure on interest payments is the largest head of payment and constitutes as much as about 25 per cent of the government’s total